

March 11, 2025

Suzanne H. Plimpton
Reports Clearance Officer
National Science Foundation
2415 Eisenhower Avenue
Alexandria, VA 22314

**Re: Request for Information on the Development of an Artificial Intelligence
(AI) Action Plan FR Doc. 2025-02305**

Dear Ms. Plimpton,

On February 6th, 2025, on behalf of the Office of Science and Technology Policy, Networking and Information Technology Research and Development and the National Coordination Office in the National Science Foundation published in the Federal Register, a Request for Information [RFI] seeking public input on priority policy actions that should be included in the Administration's new Artificial Intelligence Action Plan. The responses could be on topics such as explainability and assurance of AI model outputs, cybersecurity, data privacy and security throughout the lifecycle of AI system development and deployment, risks, in addition to regulation and governance.

The National Association of Mutual Insurance Companies ("NAMIC") is the largest property/casualty insurance trade group with a diverse membership consisting of over 1,300 member companies, including six of the top ten property/casualty insurers in the United States. The association supports local and regional mutual insurance companies on main streets across America as well as many of the country's largest national insurers. NAMIC member companies write \$391 billion in annual premiums and represent 61 percent of homeowners, 48 percent of automobile, and 25 percent of the business insurance markets. Through its advocacy programs NAMIC promotes public policy solutions that benefit member companies and the policyholders they serve and fosters greater understanding and recognition of the unique alignment of interests between management and policyholders of mutual companies.

Support Innovation and Development of AI

NAMIC fully supports the innovation and development of Artificial Intelligence (AI) and data usage that has the potential to benefit consumers and the industry alike and believes any laws or regulations governing AI in insurance should promote such benefit. Artificial intelligence technology is another tool in the insurer's toolbox to be leveraged to increase efficiency,

accuracy, and benefit to insurance consumers. As a result, NAMIC encourages policy actions that support such innovation and development of AI to benefit consumers, and to avoid overly burdensome regulatory regimes that stifle such innovation and subsequent benefit.

Avoid Dual and Conflicting Regulation for Industry

Speaking for the insurance industry specifically, NAMIC requests that policy actions avoid dual and conflicting regulation for industry. NAMIC believes that regulatory proposals, activity, and directives toward the insurance industry's use of AI should stem from and factor in existing state insurance law and not advance novel concepts or interpretations that expand such laws or may conflict with such laws. Particularly relative to explainability and assurance of AI model outputs, the insurance industry is already stringently regulated at the state level on these matters, regardless of whether a human is doing the work, or whether the work is AI-assisted.

Insurance is unique among financial services products in that the actual cost of providing insurance is unknown at the time it is offered. Instead, insurers price prospectively based on a proposed policyholder's risk. This prospective nature of pricing requires that insurers rely on actuarial science to fairly ascertain and better measure future risk predictors, then match pricing to the risk of loss as accurately as possible. These efforts help ensure that less risky policyholders are not overcharged to subsidize riskier policyholders. Correlating price to risk also protects insurer solvency, a fundamental principal underlying insurers' ability to meet its commitment to policyholders in the event of future claims.

The appropriate metric for insurance pricing and risk rating is a standard of "unfair discrimination," as recognized by state insurance codes, which prohibit classifying and rating similar risk characteristics differently, and prohibits using certain factors such as race or ethnicity. These laws apply regardless of whether a human completes the work and pricing, or whether the work is AI-assisted.

To reinforce the fact that existing insurance law applies to the use of AI in insurance, the National Association of Insurance Commissioners (NAIC) adopted the Model Bulletin on the Use of Artificial Intelligence by Insurers in December 2023. At the outset, the NAIC Model Bulletin states that it is intended to "remind all insurers . . . that decisions or actions impacting consumers that are made or supported by advanced analytical and computational technologies . . . must comply with all applicable insurance laws and regulations. This includes those laws that address unfair trade practices and unfair discrimination."

Due to its nature as a regulatory bulletin, the NAIC Model Bulletin explains how state insurance regulators expect to apply *existing* state insurance law. Therefore, even in states where the NAIC Model Bulletin has not been adopted, the legal framework already exists for the insurance regulators to ensure consumer protection and guard against unfair discrimination, regardless of the tool or method being used.

State insurance departments have consistently implemented unfair discrimination standards (based on state laws) which insurers have been dutifully in compliance for decades and continue to do so in the advent of AI technology. To create further regulatory regimes for AI and insurance that do not stem directly from state insurance codes would be to create a layered and conflicting regulatory framework, which in turn, would stifle innovation and the benefit that insurance consumers might receive from the use of AI in the insurance industry.

If you have any questions or require further information, please contact me. Thank you for your time and consideration.

Thomas J. Karol
General Counsel – Federal
National Association of Mutual Insurance Companies